
5 Crypto Security Mistakes That Cost People Thousands

And How to Avoid Them

\$11.4B	181,565	\$17B
Crypto fraud losses in 2025 (FBI)	Complaints filed in 2025 (FBI)	Estimated total scam losses (Chainalysis)

A Free Guide from Sentinel Enterprises
sentinelenterprisesllc.com

Why This Guide Exists

Americans lost over \$11.4 billion to cryptocurrency-related scams in 2025, according to the FBI's Internet Crime Complaint Center (IC3). That number represented more than half of all internet crime losses tracked by the bureau that year.¹

Chainalysis estimates the true total may be even higher — roughly \$17 billion in crypto scam losses globally in 2025, with the average scam payment jumping 253% year-over-year to \$2,764.² AI-enabled scams are now 4.5 times more profitable than traditional schemes, extracting an average of \$3.2 million per operation.²

The overwhelming majority of these losses were preventable. Not through complicated technical skills, but by understanding a handful of fundamental security practices that most crypto holders were never taught.

This guide covers the five most common and costly mistakes people make with their cryptocurrency — and the specific steps you can take today to protect yourself.

1. FBI IC3 2025 Annual Report, [gate.com/news/detail/fbi-reports-114b-crypto-fraud-losses](https://www.gate.com/news/detail/fbi-reports-114b-crypto-fraud-losses)

2. Chainalysis Crypto Scams 2026, finchain.cash/blog/crypto-security-scams-2026

Leaving All Your Crypto on an Exchange

When you buy cryptocurrency on an exchange like Coinbase, Binance, or Uphold, the exchange holds your private keys — the cryptographic codes that actually control your funds. You have an IOU, not the keys.

This means if the exchange is hacked, goes bankrupt, freezes your account, or experiences an outage, you have no recourse. The collapse of FTX in 2022 demonstrated this risk: over \$8 billion in customer funds vanished overnight. Customers who thought their crypto was safe discovered they were unsecured creditors in a bankruptcy proceeding.

The Solution: Move to Cold Storage

A hardware wallet (also called a cold wallet) stores your private keys on a physical device that never connects to the internet. This makes it virtually impossible for hackers to steal your keys remotely.

Wallet	Price	Best For
Ledger Nano S Plus	~\$79	Beginners, wide coin support
Tangem Ring	~\$49	Ultra-portable, NFC-based
ELLIPAL Titan Mini	~\$79	Air-gapped, touch screen

Rule of thumb: Only keep what you need for active trading on an exchange. Move everything else to a hardware wallet you control.

Quick action: If you have more than \$500 in crypto sitting on an exchange right now, order a hardware wallet today. The cost of the device (one-time \$49-\$79) is negligible compared to the value it protects.

Falling for Phishing Scams and Fake Apps

Crypto phishing has evolved far beyond obvious fake emails. Modern attacks use sophisticated fake websites, malicious browser extensions, and AI-generated deepfakes to trick you into signing transactions that drain your wallet — sometimes without you even realizing what happened.

Roughly \$1 billion was lost to approval phishing between 2021 and 2023, with the top ten phishing addresses accounting for nearly 16% of all stolen value.³ In January 2026 alone, signature phishing losses jumped 207% compared to the previous month.²

How It Works

You connect your wallet to what looks like a legitimate dApp, airdrop claim, or NFT mint. You approve what appears to be a normal transaction. But what you've actually approved is a smart contract permission that grants indefinite access to move tokens out of your wallet — no further clicks needed.

How to Protect Yourself

- Never click links in unsolicited messages. Type the official URL directly into your browser.
- Before connecting your wallet to any site, verify the URL character-by-character. Scammers register domains that look almost identical (e.g., uniswap-app.io instead of app.uniswap.org).
- Never sign a transaction you can't read. If your wallet shows raw hexadecimal data instead of a human-readable summary, stop and verify before approving.
- Regularly audit and revoke old token approvals using tools like Revoke.cash or Etherscan's Token Approval Checker.
- Treat unsolicited 'support' contact as hostile. No legitimate exchange or wallet provider will ever ask for your seed phrase.

3. Chainalysis Approval Phishing Report, legalclarity.org/crypto-phishing-scams

Mishandling Your Seed Phrase

Your seed phrase (also called a recovery phrase or mnemonic) is the master key to your wallet. These 12 or 24 words can reconstruct your entire wallet on any device. If anyone gets your seed phrase, they can take every penny you own — instantly, irreversibly, and anonymously.

Yet many people store their seed phrase in ways that make it trivially easy to steal.

Never Do These Things

- ✗ Store your seed phrase in a password manager that syncs to the cloud
- ✗ Take a photo of your seed phrase on your phone
- ✗ Type it into a notes app, text message, or email
- ✗ Store it in a cloud service like Google Drive or iCloud
- ✗ Share it with anyone — including 'support agents', friends, or family members
- ✗ Enter it on any website, ever, for any reason

Do These Instead

- + Write your seed phrase on paper using a pen (not pencil — it fades)
- + Store it in a fireproof, waterproof safe or lockbox
- + Consider engraving it on a metal plate for fire and water resistance
- + Never keep your seed phrase in the same location as your hardware wallet
- + Consider splitting your seed phrase across two secure locations

The golden rule: Your seed phrase should never exist in digital form. If it has ever been on a device connected to the internet — phone, computer, cloud, camera — consider it compromised and generate a new wallet.

Signing Transactions You Don't Understand

"Blind signing" is approving a blockchain transaction when your wallet only shows raw hexadecimal data instead of a plain-language summary of what the transaction does. This is one of the most common ways people lose cryptocurrency, and most wallet interfaces still display incomprehensible code instead of readable instructions.²

In one January 2026 case, a single investor lost \$12.25 million to an address poisoning attack — a scheme where scammers plant a lookalike wallet address in your transaction history, then wait for you to copy-paste it the next time you send funds.²

How to Avoid Blind Signing

- If your wallet shows hex data (long strings of numbers and letters like 0x4e71d...a3f2) for what should be a simple action, stop. Do not approve.
- Verify wallet addresses character-by-character before sending, not just the first and last few characters. Address poisoning specifically exploits the habit of skimming.
- Use a dedicated device for crypto transactions. Don't sign transactions on the same device you use for everyday browsing, gaming, or email.
- Beware of clipboard hijacking malware that silently swaps copied addresses. After copying an address, verify the first and last 6 characters before pasting.
- When in doubt, send a small test transaction first. If it arrives correctly, send the rest.

2. Chainalysis Crypto Scams 2026, finchain.cash/blog/crypto-security-scams-2026

Falling for Social Engineering and Impersonation

Most crypto losses in 2026 trace back to social engineering — manipulating people, not code. The technical exploits get the headlines, but the human element is where the real money is stolen.

The FBI recorded \$333.5 million in crypto ATM scam losses in 2025 alone, with more than 85% of victims over age 60. These scams typically involve someone impersonating a government agency or tech support, pressuring victims into depositing cash at crypto kiosks.¹

AI has made these scams dramatically more convincing. Voice cloning, synthetic video, and AI-generated personas make "pig butchering" schemes (romance scam into investment opportunity) and impersonation calls far harder to detect.²

Red Flags to Watch For

- ! Urgency: "You need to act now or you'll lose everything." Real financial institutions don't operate this way.
- ! Authority: Someone claims to be from Coinbase, the SEC, or the FBI. Verify through official channels independently.
- ! Secrecy: "Don't tell anyone about this opportunity." Legitimate investments welcome scrutiny.
- ! Guaranteed returns: No legitimate crypto investment offers guaranteed profits.
- ! Requests for your seed phrase, private key, or remote access to your device. This is always a scam. Always.
- ! Pressure to use crypto ATMs or kiosks. Government agencies never request payment via crypto.

If you've been targeted: Report to the FBI at ic3.gov, the FTC at [ReportFraud.ftc.gov](https://reportfraud.ftc.gov), and contact the exchange you used to send funds immediately. Some platforms can flag or freeze transactions in progress.

1. FBI IC3 2025 Annual Report, gate.com/news/detail/fbi-reports-114b-crypto-fraud-losses

2. Chainalysis Crypto Scams 2026, finchain.cash/blog/crypto-security-scams-2026

Your Next Steps

You now know the five most common mistakes that cost crypto holders thousands. Here's how to turn this knowledge into action:

1. Move your crypto off exchanges. Order a hardware wallet and transfer your holdings. If you have crypto on an exchange right now, this is your first priority.
2. Audit your digital footprint. Check if your seed phrase has ever been stored digitally. If it has, generate a new wallet and transfer your funds immediately.
3. Revoke old token approvals. Visit revoke.cash and Etherscan's Token Approval Checker to review and remove any active permissions you no longer need.
4. Set up a dedicated signing device. Use a separate device (or hardware wallet) for crypto transactions. Don't mix everyday browsing with wallet signing.
5. Educate yourself further. This guide covers the fundamentals. Our detailed products go deeper into specific wallets, XRP security, and the future of digital money.

Ready to go deeper?

Sentinel Enterprises offers in-depth guides for crypto holders who want complete protection:

- The XRP Wallet Security Blueprint — Step-by-step cold wallet setup for XRP holders
- The New Money Playbook — Understanding the future of digital money
- The Ripple Effect — How XRP is rewriting the rules of global finance

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